

**ECO101H1F L101, L201, L301 & L501: Principles of Microeconomics
Midterm 1, Fall 2025**

University of Toronto, Faculty of Arts and Science
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**DO NOT OPEN THIS BOOKLET UNLESS INSTRUCTED.
ALL MATERIAL MUST BE HANDED IN AT THE END OF THE EXAM.**

First Name: _____

Last Name: _____

UofT email address: _____

Student ID number (e.g. 1000123456):

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PUT MULTIPLE CHOICE ANSWERS ON THE BUBBLE SHEET

It is the last page of this booklet.

MC answers written anywhere else in the booklet will be ignored. No exceptions.

Before you start

- **100 minutes. 100 points.** The points for each question are shown in brackets at the start of the question.
- **Aids allowed:** a non-graphing, non-programmable calculator.

Multiple Choice — 50 points

- Choose the **best** answer from the options given and enter it on the bubble sheet.
- There are no deductions for wrong answers, so answer every question.

Short Answer — 50 points

- **Show your work.** No work means no partial credit.
- Label all diagrams clearly, and give arguments to support your answers for full credit.
- For **Agree / Disagree / It Depends** questions, **all** the points are for the explanation.
- **Quantity is not quality.** Many fancy-sounding words are not a substitute for economic analysis. Don't give us multiple competing answers and expect us to pick the right one. That is your job.
- Your answer must fit in the space provided.
- If you run out of room, carry on from page 15 and write "Continued on page 15" where the answer breaks off. Rough work is not marked unless you do this.

Multiple Choice Questions

PUT MULTIPLE CHOICE ANSWERS IN THE BUBBLE SHEET (LAST PAGE).

No work here will be considered.

- 1) [2 points] Aloysius purchased a \$15 non-refundable ticket for a 3-hour movie he values at \$50. If he doesn't go to the movie, he can spend the 3 hours with his grandchildren (valued at \$45) or watching the Blue Jays baseball game on TV (valued at \$20). His Opportunity Cost of going to the movie is ____.
- A. \$15
 - B. \$20
 - C. \$45
 - D. \$65
 - E. None of the above.

- 2) [2 points] Janice and Joe's Marginal Cost (MC) for the Q th unit is given in the table below. From the options below, at what price will there be a total of exactly 5 units supplied?

Q	1	2	3	4	5
Janice's MCs	\$0	\$2	\$4	\$6	\$6
Joe's MCs	\$3	\$5	\$7	\$8	\$9

- A. \$7.5
- B. \$6.5
- C. \$5.5
- D. \$3.5
- E. None of the above.

PUT MULTIPLE CHOICE ANSWERS ON THE BUBBLE SHEET

- 3) [2 points] The table below has the amount of time Earl and Pearl need to re-stock one shelf or clean one closet. Each has 100 hours of time. Pearl's Opportunity Cost of cleaning one closet is ____ restocked shelves.

	Re-stock one shelf	Clean one closet
Earl	4 hours	2 hours
Pearl	3 hours	4 hours

- A. $4/3$ shelves
 B. $3/4$ of a shelf
 C. 2 shelves
 D. $1/2$ a shelf
 E. None of the above.
- 4) [2 points] Omar and Priya produce coffee and cocoa on identical plots of land. Priya can produce more of both coffee and cocoa per hectare than Omar. Omar exports coffee to Priya in exchange for cocoa. Based on this, ____ has the Absolute Advantage in cocoa, and ____ has the Comparative Advantage in coffee.
- A. Omar; Omar
 B. Priya; Omar
 C. Omar; Priya
 D. Priya; Priya
 E. Cannot be determined; Omar
- 5) [2 points] Assume perfectly competitive markets where P is price and Q is quantity. Market Demand is $P = 220 - 2Q$ and Market Supply is $P = 20 + 2Q$. What is equilibrium market price?
- A. \$50
 B. \$60
 C. \$85
 D. \$120
 E. None of the above.

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- 6) [2 points] In a perfectly competitive market, we have 2 firms, A and B, whose Marginal Cost (MC) functions are $MC_A = 2Q_A + 20$ and $MC_B = Q_B + 10$, respectively. At a market price of \$40, market quantity supplied is ____.
- A. 20
 - B. 40
 - C. 60
 - D. 90
 - E. None of the above.
- 7) [2 points] Consider the perfectly competitive green tea market. Demand is downward-sloping. The elasticity of supply is 0. A study showing the multiple health benefits of drinking green tea goes viral on social media. As a result, we would expect market price for green tea to ____ and market quantity to ____.
- A. stay the same; decrease.
 - B. decrease; decrease.
 - C. increase; increase.
 - D. stay the same; increase.
 - E. increase; stay the same.
- 8) [2 points] Market demand is given by $P = 60 - 3Q$. At a price of $P = \$15$, market demand is ____.
- A. Perfectly inelastic
 - B. Inelastic
 - C. Unit elastic
 - D. Elastic
 - E. Perfectly elastic

PUT MULTIPLE CHOICE ANSWERS ON THE BUBBLE SHEET

- 9) [2 points] Consider the perfectly competitive coffee market with downward-sloping demand and upward-sloping supply. Consumers choose between coffee and tea. The price of tea decreases, all else held fixed. As a result, in the coffee market Total Surplus ____ and Consumer Surplus ____.
- A. decreases; decreases.
 - B. increases; increases.
 - C. decreases; increases.
 - D. increases; could increase, decrease or stay the same.
 - E. decreases; could increase, decrease or stay the same.

- 10) [2 points] Assume buyers only buy 1 unit, if they buy, and sellers sell only 1 unit, if they sell. The table below has the Marginal Costs (MC) for Producers A, B and C and the Willingness to Pay (WTP) for buyers X, Y and Z. If they are the only participants in a perfectly competitive market, Total Surplus is ____.

Buyer	WTP	Seller	MC
X	\$9	A	\$13
Y	\$20	B	\$9
Z	\$11	C	\$15

- A. \$7
- B. \$9
- C. \$11
- D. \$13
- E. None of the above.

PUT MULTIPLE CHOICE ANSWERS ON THE BUBBLE SHEET

- 11) [3 points] Adele, Belle, Darnell and Marcel's Willingness to Pay (WTP) for one concert ticket is given below. Tickets are priced at \$180 each. If the ticket price increases to \$200, all else the same, Total Surplus _____ and Consumer Surplus _____.

Person	Adele	Belle	Darnell	Marcel
WTP	\$400	\$150	\$100	\$250

- A. decreases; decreases by \$40.
 - B. decreases; increases by \$40.
 - C. increases; increases by \$40.
 - D. stays the same; decreases by \$40.
 - E. stays the same; increases by \$40.
- 12) [3 points] Homer bought a concert ticket for \$250. His value from attending the concert is \$400. If he returns the ticket, Homer can get a refund of \$100. The day of the concert, Ned offers Homer \$70 for his ticket, while Moe offers him \$120. Homer's sunk cost of the concert ticket is...
- A. \$100
 - B. \$120
 - C. \$150
 - D. \$400
 - E. None of the above.

PUT MULTIPLE CHOICE ANSWERS ON THE BUBBLE SHEET

- 13) [3 points] Two producers, Aria and Ben. Their labor requirements to produce one gadget or one widget are below. Based on this information, which exchange rate makes both Aria and Ben better off?

Person	One Gadget	One Widget
Aria	10 hours	5 hours
Ben	12 hours	4 hours

- A. 10 gadgets for 5 widgets
 - B. 10 gadgets for 15 widgets
 - C. 10 gadgets for 25 widgets
 - D. 10 gadgets for 30 widgets
 - E. 10 gadgets for 35 widgets
- 14) [3 points] Aria and Ben have 100 hours of time each to produce either widgets or gadgets. The amount of time required to produce one gadget or one widget is given below. Working together they are currently producing 12 gadgets. Assuming efficient production, if they produced an extra gadget, ____ would make it, at an Opportunity Cost of ____ widgets.

Person	One Gadget	One Widget
Aria	10 hours	5 hours
Ben	12 hours	4 hours

- A. Ben; 3 widgets
- B. Aria; 3 widgets
- C. Ben; 0.33 widgets
- D. Aria; 0.5 widgets
- E. None of the above.

- 15) [3 points] In the perfectly competitive food delivery market, consumers who do not want to eat in a restaurant can hire firms to deliver meals to their home. They pay \$5 per meal as a delivery fee. In Winter 2026, two things happen: (1) demand for meals delivered falls and (2) at every delivery fee, the number of delivery firms in the market increases. As a result, we expect the market delivery fee to ____ and market quantity to ____.
- Assume typical market demand and supply curves.
- A. decrease; stay the same.
 - B. could increase, decrease or stay the same; decrease.
 - C. could increase, decrease or stay the same; increase.
 - D. increase; could increase, decrease or stay the same.
 - E. decrease; could increase, decrease or stay the same.
- 16) [3 points] Assume perfectly competitive markets with downward-sloping demand and upward-sloping supply curves. Consumers choose between cereal and smoothies for breakfast. Wheat is used in cereal production, not smoothie production. When the price of wheat rises, all else held fixed, the price of cereal ____ and the price of smoothies ____.
- A. rises; rises.
 - B. falls; rises.
 - C. rises; falls.
 - D. falls; falls.
 - E. rises; remains unchanged.
- 17) [3 points] Assume competitive markets with typical curves. Data shows that when the price of mobile phones rises, all else held fixed, the quantity demanded of smartwatches falls. This means that the cross-price elasticity of smartwatches and phones is ____ as consumers consider them ____.
- A. positive; substitutes
 - B. positive; complements
 - C. negative; substitutes
 - D. negative; complements
 - E. negative; inferior

PUT MULTIPLE CHOICE ANSWERS ON THE BUBBLE SHEET

- 18) [3 points] Assume no externalities. We have 4 potential buyers whose Marginal Willingness to Pay (MWTP) for one ticket is given in the table below. Only two tickets, priced at \$200 each, are available and A and B buy them. If A sells their ticket to D for \$450, Total Surplus ____.

Buyer	A	B	C	D
MWTP	\$450	\$250	\$350	\$500

- A. Increases by \$50
 - B. Increases by \$200
 - C. Increases by \$250
 - D. Decreases by \$200
 - E. None of the above.
- 19) [3 points] Suppose that when average family income rises from \$60,000 per year to \$80,000 per year, all else the same, average family annual spending on internet services rises from \$1,200 to \$1,500. Based on this information, over this change, internet service is ____ and the own-price elasticity of demand for internet services ____.
- A. a normal good; inelastic
 - B. a normal good; cannot be determined.
 - C. an inferior good; cannot be determined
 - D. a normal good; elastic
 - E. an inferior good; elastic

PUT MULTIPLE CHOICE ANSWERS ON THE BUBBLE SHEET

- 20) [3 points] Fatimah's Total Benefits from visiting the doctor throughout the year are given below. She is given the choice between paying \$200 per visit and paying \$1,000 for the entire year with unlimited visits. How many times will Fatimah visit the doctor?

Number of visits	1	2	3	4	5
Total Benefit	\$500	\$825	\$1,000	\$1,150	\$1,150

- A. 5
- B. 4
- C. 3
- D. 2
- E. 1

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No work here will be considered.

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Short Answer Questions

- Q1)** Gus chooses between a sandwich from Urban Crust (priced at \$20) and a salad (priced at \$12). Both need a 15-minute walk to reach. Only Urban Crust has an additional 30-minute wait to get in.
- Q1a)** [5 points] **Claim:** When Urban Crust's sandwich price falls from \$20 to \$15, Gus's Willingness to Pay (WTP) for the sandwich increases. Agree, disagree, or it depends? Use an equation for WTP to justify your answer.

- Q1b)** [6 points] Gus will buy the Urban Crust sandwich. He now chooses between going to the restaurant or getting the same \$20 sandwich, delivered. The delivery fee is \$10. What is the maximum delivery fee Gus will pay? Explain.

Q2) Minnesota (MN) and British Columbia (BC) produce apples and corn with 1,000 acres each. Output per acre in 2025 is:

Region	Apples	Corn
Minnesota (MN)	7 tons per acre	21 tons per acre
British Columbia (BC)	8 tons per acre	16 tons per acre

Q2a) [6 points] MN offers to sell apples to BC at an exchange rate of 1 ton of apples for 3 tons of corn. **Claim:** Trading with MN at this rate will make BC better off. Agree, disagree, or it depends? Explain.

Q2b) [5 points] Ignore part (a). New scenario. In 2026, good weather increases BC's corn productivity, all else the same. **Claim:** In 2026, BC should export corn to MN. Agree, disagree, or it depends? Explain.

Q3) Assume all markets are perfectly competitive with the usual market demand and supply curves. Farmers raise chickens that lay eggs (sold in the egg market). They also sell some chickens as meat (chicken market). Bird flu kills a large fraction of chickens.

Q3a) [5 points] **Claim:** Prices in the egg market will fall due to the bird flu. Agree, disagree, or it depends? Explain your reasoning.

Q3b) [6 points] After the bird flu, spending on eggs rises while spending on chicken meat falls. **Claim:** This is because consumers have more alternatives for chicken meat than for eggs. Agree, disagree, or it depends? Explain.

Q3c) [6 points] 2029: bird flu is over and markets have returned to their pre-bird flu market equilibrium. Ann buys chicken and beef, no eggs. Holding all else constant, when her income rises by 10%, her quantity demanded of chicken increases by 12% and beef increases by 2%. **Claim:** Ann's demand for beef is elastic. Agree, disagree, or it depends? Explain.

Q4) FIFA must set ticket prices for World Cup 2026 matches. Assume: (1) all tickets are priced at \$100 each, (2) each match has 1,000 seats, and (3) at a price of \$100, many more than 1,000 tickets are demanded. Current plan: tickets are sold online, and the first 1,000 people to log in may buy one ticket each.

Q4a) [5 points] **Proposal A:** Everyone who wants a \$100 ticket signs up online. 1,000 names are randomly drawn and may purchase one ticket each. **Claim:** Producer Surplus will increase under Proposal A relative to the current plan. Agree, disagree, or it depends? Explain.

Q4b) [6 points] Ignore part (a). **Proposal B:** Set the ticket price so that exactly 1,000 people are willing to buy a ticket at that price. **Claim:** Consumer Surplus will increase under Proposal B relative to the current plan. Agree, disagree, or it depends? Explain.

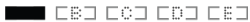
SPACE FOR ROUGH WORK

Not graded, *unless* an earlier answer says it continues here.

Name: _____

Student ID Number: _____

Instructions:

Please completely fill in the rectangle associated with your response. Example: 

A B C D E

1 ☐A ☐B ☐C ☐D ☐E

2 ☐A ☐B ☐C ☐D ☐E

3 ☐A ☐B ☐C ☐D ☐E

4 ☐A ☐B ☐C ☐D ☐E

5 ☐A ☐B ☐C ☐D ☐E

6 ☐A ☐B ☐C ☐D ☐E

7 ☐A ☐B ☐C ☐D ☐E

8 ☐A ☐B ☐C ☐D ☐E

9 ☐A ☐B ☐C ☐D ☐E

10 ☐A ☐B ☐C ☐D ☐E

11 ☐A ☐B ☐C ☐D ☐E

12 ☐A ☐B ☐C ☐D ☐E

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14 ☐A ☐B ☐C ☐D ☐E

15 ☐A ☐B ☐C ☐D ☐E

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23 ☐A ☐B ☐C ☐D ☐E

24 ☐A ☐B ☐C ☐D ☐E

25 ☐A ☐B ☐C ☐D ☐E

A B C D E

26 ☐A ☐B ☐C ☐D ☐E

27 ☐A ☐B ☐C ☐D ☐E

28 ☐A ☐B ☐C ☐D ☐E

29 ☐A ☐B ☐C ☐D ☐E

30 ☐A ☐B ☐C ☐D ☐E

31 ☐A ☐B ☐C ☐D ☐E

32 ☐A ☐B ☐C ☐D ☐E

33 ☐A ☐B ☐C ☐D ☐E

34 ☐A ☐B ☐C ☐D ☐E

35 ☐A ☐B ☐C ☐D ☐E

36 ☐A ☐B ☐C ☐D ☐E

37 ☐A ☐B ☐C ☐D ☐E

38 ☐A ☐B ☐C ☐D ☐E

39 ☐A ☐B ☐C ☐D ☐E

40 ☐A ☐B ☐C ☐D ☐E

41 ☐A ☐B ☐C ☐D ☐E

42 ☐A ☐B ☐C ☐D ☐E

43 ☐A ☐B ☐C ☐D ☐E

44 ☐A ☐B ☐C ☐D ☐E

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75 ☐A ☐B ☐C ☐D ☐E

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91 ☐A ☐B ☐C ☐D ☐E

92 ☐A ☐B ☐C ☐D ☐E

93 ☐A ☐B ☐C ☐D ☐E

94 ☐A ☐B ☐C ☐D ☐E

95 ☐A ☐B ☐C ☐D ☐E

96 ☐A ☐B ☐C ☐D ☐E

97 ☐A ☐B ☐C ☐D ☐E

98 ☐A ☐B ☐C ☐D ☐E

99 ☐A ☐B ☐C ☐D ☐E

100 ☐A ☐B ☐C ☐D ☐E